Why energy costs are yet to come down

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By Sian Fenner & Justin Smirk

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A video with Head of Industry Economics, Sian Fenner, and Senior Economist, Justin Smirk, on why oil prices have pushed higher and yet, while the risks to the outlook is two sided, the upside risk presents a more dramatic shift in prices.

Sian and Justin discuss why auto fuel-driven inflation will rise before easing as oil markets normalise. They examine oil supply risks, Australian fuel prices and inflation plus the implications for the RBA. Brent crude is expected to average about US$101 in Q4 2026, then fall toward US$77 by Q4 2027, while and escalation in the conflict could push it to about US$150 in the first half of 2027.

The September CPI is forecast to rise 0.6%, lifting annual pace from 4.0 to 4.1%; the December-quarter CPI is now expected to lift 1.3%, mainly because fuel prices are expected to rise about 15% in the quarter per cent. Through 2027, falling fuel prices could reduce headline inflation to around 2.4%yr by year end in 2027, but prolonged conflict could keep all measures of inflation above those levels well into 2028.

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